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HEARD ON THE STREET

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Nvidia's Cloud Bill Comes Due

Surging data-center sales are already baked into stock's recent runup

By Dan Gallagher

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Nvidia's stock price has surged more than sevenfold over the past two years. AFP/GETTY IMAGES

The only thing soaring higher than Nvidia's NVDA -4.26% ▼ cloud business is its share price.

Both were apparent following the company's fiscal first-quarter results Thursday afternoon. Sales of graphics-processing chips designed for use in data centers soared 71% year over year to \$701 million—solidly beating the 60% growth analysts had projected. This segment now makes up about 22% of Nvidia's total business. But it also is the primary driver of the company's stock price, which has surged more than sevenfold over the past two years as advances in artificial intelligence have made the company a key supplier to the Big Tech companies that are aggressively investing in the expansion of their networks.

About 15% of the stock's recent gains came just in the past week, which set a challenging stage for even a strong report. Nvidia's share price slipped about 3% in after-hours trading following the results Thursday.

At 40 times forward earnings, Nvidia is admittedly one of the richer plays in the chip sector. But investors with a longer-term view still shouldn't worry much. The data-center segment has plenty of upside remaining, as the largest customers are still boosting their spending. Google, Microsoft and Amazon.com alone spent a record \$16.4 billion in capital expenditures and capital leases during the March quarter, up 80% year over year. Nvidia's strong earnings expansion over the past two years also supports the argument that the company can easily grow into its valuation.

That only means the stock shouldn't fall, not that it should rise further. And there are reasons to worry about short-term volatility. The company noted in its earnings call Thursday that demand from cryptocurrency miners is expected to decline in the current quarter. That is a market investors never should have counted on lasting. But with the stock's recent run, every little bit can help, or hurt.

Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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